

1.0 Introduction to the Expense Management Module

The Expense Management module in Dynamics 365 is a comprehensive tool designed to streamline and control employee-initiated expenditures. Its strategic importance lies in its ability to manage the entire expense lifecycle, from initial configuration and policy enforcement to the submission, approval, processing, and reimbursement of expense reports and cash advances. By centralizing these functions, businesses can enhance financial oversight, ensure compliance with spending policies, and improve the efficiency of their reimbursement processes.

This manual provides a detailed guide to two primary functions within the module:

1. **Standard Expense Reporting:** Setting up the foundational parameters, categories, policies, and workflows required to process a typical expense report.
2. **Cash Advance Management:** Configuring and executing the end-to-end process for requesting, paying, and reconciling employee cash advances against subsequent expenses.

Before these features can be utilized, a series of foundational setup steps must be completed to ensure employees are correctly configured within the system.

2.0 Foundational Setup: Configuring Employees and Users

Proper employee and user configuration is a mandatory prerequisite for all expense management functions. These initial steps are critical to ensure that every expense transaction is correctly associated with the right individual and properly linked to the financial system through a corresponding vendor account for processing payments.

2.1 Creating and Configuring an Employee

Follow these steps to create a new employee record and associate them with the necessary legal entities.

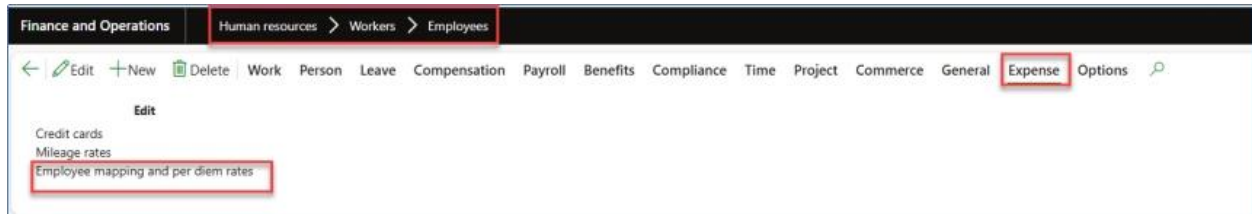
1. Navigate to the employee creation form: **Human Resources > Workers > Employees**
2. Click **New** to create a new employee record.
3. Enter the employees' essential details, such as their first and last name, and specify the **Employment start date**.
4. Click **Hire** to create the record.
5. To make an employee available for transactions across multiple business units, select the employee record and navigate to the **Work** tab in the action pane, then click **Employment history**.
6. In the 'Employment history' screen, click **New**. Select the desired **Legal entity** from the dropdown, confirm the start date, and click **Create employment**. This step is necessary if the employee will be submitting expenses across multiple legal entities within the organization.

See check HR manual

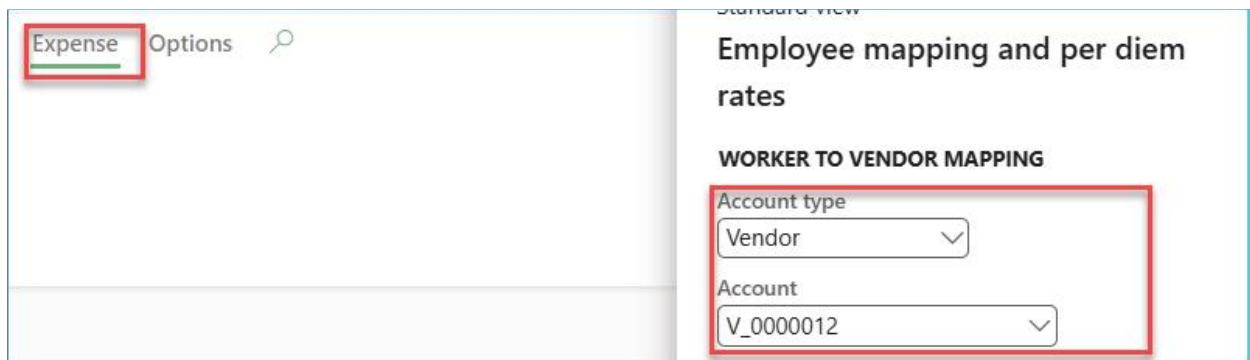
2.2 Mapping the Employee to a Vendor Account

Before an employee can be reimbursed, a corresponding vendor account must be created for them in the Accounts Payable module. Once that vendor exists, follow these steps to link it to the employee record.

1. Navigate to the employee record at **Human Resources > Workers > Employees**.
2. With the correct employee selected, go to the **Expense** section in the action pane.



3. Click on **Employee mapping and per diem rates**.
4. Set the **Account type** field to Vendor.
5. In the **Account** field, select the corresponding vendor account that has been created for this employee.



2.3 Linking the Employee to a System User ID

The final step is to link the employee record to their Dynamics 365 user ID, which enables them to create and submit their own expense reports.

1. Navigate to the user administration screen: **System Admin > Users > Users**
2. Select the user ID that corresponds to the employee.
3. In the **Person** field, search for and select the employee record you configured in the previous steps.
4. Click **Save**. This mapping is essential; without it, the user will not be able to create an expense report.

With the user properly configured, the next step is to configure the core parameters of the Expense Management module itself.

The screenshot shows the 'Users' page in Dynamics 365. The breadcrumb navigation is 'Finance and Operations > System administration > Users > Users'. The user 'salman.ahmad' is selected. The 'User details' section shows the following information:

User ID	User name	Provider	Email	Telemetry ID	Company
salman.ahmad	salman.ahmad	https://sts.windows.net/dyna...	salman.ahmad@dynamicssol...	{5088C6A0-06AB-4866-B33C...	AURC

Below the details, there is a 'Person' section with a dropdown menu showing 'Salman Ahmad' and an 'Enabled' toggle switch set to 'Yes'.

3.0 Core Configuration of the Expense Management Module

The backbone of the Expense Management module is built upon a set of core parameters and data structures. These settings govern how expenses are categorized, what financial accounts are used, how payments are processed, and how transactions are ultimately posted to the general ledger.

3.1 Setting Expense Management Parameters

These global settings define the default behavior for the module.

1. Navigate to the parameters screen: **Expense management > Setup > General > Expense management parameters**
2. Configure the following key settings:
 - o **General Tab:** In the **Personal expense paid by** field, ensure the value is set to Paid by employee.

The screenshot shows the 'Expense management parameters' screen in Dynamics 365. The breadcrumb navigation is 'Finance and Operations > Expense management > Setup > General > Expense management parameters'. The 'General' tab is selected. The 'Set up general options for expense management' section contains the following settings:

Standard rate of mileage	Display entire expense report on ...	Allow editing of distributions bef...	Allow intercompany expense lines
0.00d	☐ No	☐ No	☐ No

Below these, there are more settings:

Validate expense purpose	Pre-authorization of travel is ma...	Evaluate expense management p...	Allow editing the exchange rate f...
☐ No	☐ No	On line save	☐ No

The 'Personal expenses paid by' dropdown menu is highlighted with a red box, showing 'Paid by employee' as the selected option.

- **Financial Tab:** You must create and select a **Ledger Daily Journal name**. To do this, navigate to the General Ledger module and create a new journal with the type set to Daily Journal and ensure a voucher series is assigned. This journal is used for posting expense-related financial entries.

Finance and Operations | Expense management > Setup > General > Expense management parameters

Standard view ▾

Expense management parameters

General

Set up financial information for expense management

Financial | Ledger daily journal name: LEDGER | Post cash advances immediately: Yes

Per diem | Correct accounting date during p...: No

Fax cover pages

3.2 Establishing Categories for Expenses

Dynamics 365 uses a two-tiered category system to classify expenses, which is critical for accurate accounting and reporting. First, a global Shared Category is created, and then a more specific Expense Category is defined for the legal entity.

To Create a Shared Category (Example: "Taxi"):

1. Navigate to: **Expense management > Setup > General > Shared categories**
2. Click **New** to create a category.
3. Assign a unique **Category ID** and **Category name** (e.g., "Taxi").
4. Ensure the **Can be used in expense** checkbox is marked.
5. Select an **Expense type**, such as Miscellaneous expense.

Finance and Operations | Expense management > Setup > General > Shared categories

Standard view ▾

Shared categories

Category ID: Tran001 | Category name: Transport

Usage

Can be used in Project: Yes | Can be used in Production: No | Can be used in Expense: Yes | Expense type: Car rental

To Create an Expense Category:

1. Navigate to: **Expense management > Setup > General > Expense categories**
2. Click **New**.
3. In the **Category ID** field, select the Shared Category you just created (e.g., "Taxi").

4. Select a default **Payment method** (e.g., "Cash").
5. Assign a **Category group**. If a suitable group does not exist, create one by right clicking the field and selecting 'View details'. Click 'New', give the group an ID, and set the **Transaction type** to Expense before saving.
6. Crucially, in the **Expense account** field, select the main account from the general ledger where transactions for this category should be posted (e.g., a "Meeting Expense" account).

	Is Default	Payment method
☒	☒	Company

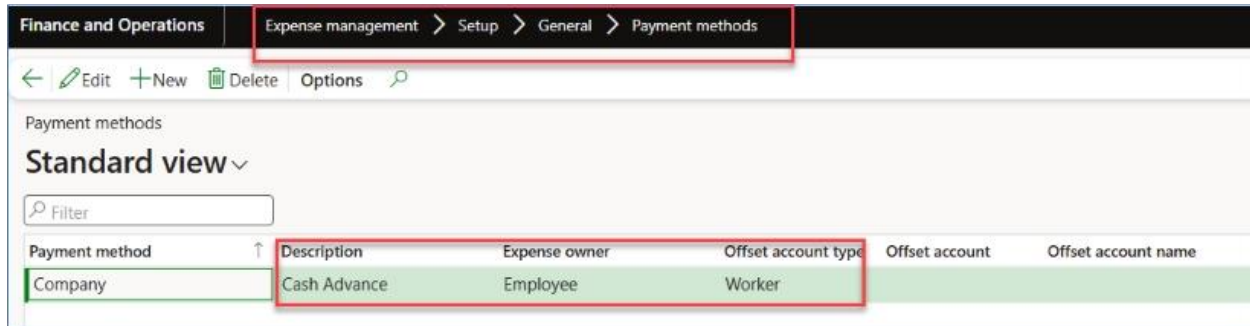
3.3 Defining Payment Methods

Payment methods determine how expenses are posted financially, specifically identifying who paid for the expense and how the offset transaction should be handled.

1. Navigate to: **Expense management > Setup > General > Method of payment**
2. When creating or editing a payment method for employee-paid expenses (e.g., "Cash"), ensure the following fields are set correctly:
 - **Expense owner:** Must be set to Employee.

- **Offset account type:** Must be set to Worker. This critical setting tells the system to use the employee's mapped vendor account (configured in Section 2.2) as the offset for financial transactions, ensuring the employee is credited for reimbursement.

With the core data structures in place, the next step is to define the business rules and approval processes that govern expense reporting.



4.0 Defining Expense Policies and Workflows

Expense policies and workflows are essential components for enforcing company spending rules, preventing non-compliant submissions, and automating the approval process. These tools ensure financial control and adherence to internal guidelines.

4.1 Configuring Approval Workflows

Workflows are required to route both expense reports and cash advance requests to the appropriate individuals for approval. This is part of Admin user not for end user

1. Navigate to the workflow configuration screen: **Expense Management > Setup > Expense management workflow**
2. Create a new workflow for expense reports (and another for cash advances, as detailed in the next section).
3. Design the workflow structure. A basic workflow includes a single approval step. Within this step, you can configure the assignment to a specific user or user group (e.g., assign approval to the 'admin' user).
4. After configuring the workflow, it is crucial to activate it. Make sure that the correct, active version is set as the **default workflow** for the system to use it.

With the setup and business rules established, we can now move to the practical application of managing cash advances.

Finance and Operations

Expense management > Setup > General > Expense management workflows

New

Delete

Workflow

Options

Manage

Hierarchy

Validate

Versions

Associate hierarchy

Validate attachment

Set as default

Remove hierarchy

Validate comments

Import

Expense management workflows

Standard view

Filter

Status	Default	ID	Name	Association	Type
☒	☒	000191	Cash advance request	aurc	TrvCashAdvanceTemplate
☐	☒	000203	Expense report	Organization-wide	TrvDocumentTemplate

5.0 The End-to-End Cash Advance Lifecycle

A cash advance is a sum of money provided to an employee to cover anticipated business-related expenses. The Expense Management module supports the complete lifecycle of this process, from the initial request and payment to the final reconciliation against an expense report.

5.1 Prerequisite Setup for Cash Advances

In addition to the core setup, the cash advance feature requires a few specific configurations.

- Expense Management Parameters:** Navigate to **Expense management > Setup > General > Expense management parameters**. In this screen, ensure the **Post cash advance immediately** button is enabled.

Finance and Operations				
Expense management > Setup > General > Expense management parameters				
SaveOptions				
Standard view				
Expense management parameters				
General				
Set up financial information for expense management				
Financial		Ledger daily journal name LEDGER		
Per diem		I_Expense		
		Enable tax recovery from expenses		
		No		
		Post cash advances immediately		
		Yes		

- Cash Advance Accounts:** Go to **Expense management > Setup > General > Cash advance accounts**. Here, you must map a main account for each currency that will be used for advances (e.g., map an INR-specific general ledger account). This account tracks the total outstanding advances.

Finance and Operations | Expense management > Setup > General > Cash advance accounts

← Edit +New Delete Options

Cash advance accounts

Standard view ▾

Filter

Currency	Account type	Main account	Account name
PKR	Ledger		
SAR	Ledger	100200	Head Office Petty Cash
USD	Ledger		

- **Cash Advance Workflow:** A dedicated **Cash advance request workflow** must be created, activated, and set as the default, similar to the expense report workflow described in Section 4.2.

5.2 User Guide: Requesting and Reconciling a Cash Advance

This guide walks through the complete user process, from request to reconciliation.

Stage 1: Creating the Cash Advance Request

1. Navigate to **Expense management > My expenses > Cash advance** and click **New**.
2. Fill in the **Purpose** (e.g., "Meeting") and **Location**.
3. Enter the **Requested amount** (e.g., 1000).

Finance and Operations | Expense management > My expenses > Cash advances

⚠ Field 'Requested amount' must be filled in.

← Save +New Delete Workflow Options

Personalize Always open for editing Personalize this page Add to workspace ▾

Page options Security diagnostics Advanced filter or sort Record info Go to ▾

Edit Read mode Revert

Share Get a link ▾ Create a custom alert ▾ Manage my alerts

Cash advances | Standard view ▾

Salman Ahmad : AURC-000002

General

GENERAL Cash advance number AURC-000002 Status Paid Transaction date 10/21/2025	Requested date 10/21/2025 Location Note Advance for Expenses/Petty cash advance	AMOUNT Requested amount 5,000.00 Currency SAR	Requested amount (company cur... 5,000.00 Balance 5,000.00 PAYMENT INFORMATION Paid amount 5,000.00	Paid amount (company currency) 5,000.00 Paying worker Salman Ahmad Paid date 10/21/2025
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Financial dimensions

Account type
Ledger

Options ▾

FINANCIAL DIMENSIONS

BusinessUnit
10 TCF

- Click **Submit** to send the request into the approval workflow. The status will change to 'In review'.

Finance and Operations | Expense management > My expenses > Cash advances

Save +New Delete Workflow Options

Personalize: Always open for editing, Personalize this page, Add to workspace

Security diagnostics, Advanced filter or sort

Record info, Go to

Edit: Read mode, Revert

Share: Get a link, Create a custom alert, Manage my alerts

Cash advances | Standard view

Salman Ahmad : AURC-000012

General

GENERAL

Cash advance number: AURC-000012

Transaction date: 10/25/2025

Location: [Dropdown]

Purpose: [Dropdown]

Stage 2: Approving and Processing the Payment

- The designated approver reviews and approves the request via the workflow. The status of the cash advance will change to **Approved**.
- A financial processor navigates to **Expense management > Process cash advance > Approved Cash advance**.
- Select the approved advance and click the **Pay and transfer** action. Confirm the posting date and click **OK**. This action posts the payment journal to the financial system.

Finance and Operations | Expense management > Process cash advances > Approved cash advances

Pay and transfer Workflow Options

Personalize: Always open for editing, Personalize this page, Add to workspace

Page options: Security diagnostics, Advanced filter or sort, Record info, Go to

Share: Get a link, Create a custom alert, Manage my alerts

Approved cash advances

Standard view

Filter

Cash advance number	Employee	Requested date	Requested amount	Requested amount (company curren...	Currency	Cash advance st...
AURC-000012	Salman Ahmad	10/25/2025	1,000.00	1,000.00	SAR	Approved

Standard view

Cash advance posting

Name of journal: I_Expense

Journal number: [Empty]

Posting date: 10/25/2025

Stage 3: Verifying Financial Transaction

Finance and Operations | Expense management > Process cash advances > Approved cash advances

① Number of vouchers posted to the journal: 1

① AURC-000012 has been transferred to ledger journal AURC-000240

1. To verify the posting, navigate to **General ledger > Journal entries > Journal** journal and find the posted journal under the 'Posted' section.
2. Open the journal and click **Lines** or **Voucher** to view the entry. The transaction will show:

Finance and Operations | General ledger > Journal entries > General journals | AURC

Journal voucher | AURC-000240 | Expense

Standard view

Display journal lines: All

List | General | Invoice | Payment | Payment fee | Fixed assets | Remittance | History

+ New | Delete | Voucher | Financial dimensions | Sales tax | Functions

Item	Company	Account type	Account	Description	Debit	Credit	Offset com...	Offset account type	Offset account
IP-0000001	aurec	Ledger	100200-10-00000061---100555	Expense report number AURC-000012 100555	1,000.00		aurec	Vendor	V_00000012

- **Debit:** The Cash Advance account (configured in setup) is debited. This represents a prepaid expense, reflecting that the company has an asset in the form of funds advanced to an employee.
- **Credit:** The employee's vendor account is credited. This creates a liability on the company's books, acknowledging the obligation to pay the cash advance amount to the employee.

Year closed	Ledger account	Account name	Description	Currency	Amount in...	Amount	Posting type
	200200-10-00000061---100555	Sundry Creditors	Expense report number AURC-000012 100555	SAR	-1,000.00	1,000.00	Vendor balance
	100200-10-00000061---100555	Head Office Petty Cash	Expense report number AURC-000012 100555	SAR	1,000.00	1,000.00	Ledger journal

Stage 4: Claiming Expenses Against the Cash Advance

1. The employee creates an expense report by navigating **Expense management > My expense > Expense reports** and clicking **New**.

Expense management > My expenses > Expense reports

Expense report | Delete | Open | Header | Copy | View distributions | Print | Email report | View history | Workflow | Options

Standard view | New expense report

Purpose: Location:

Map to travel requisition: Travel requisition amount:

er	Approval status	Receipts at...	Purpose	Location	Amount	Created date and time	Payment date	Pay
	Processed for payment	✓			100.00 SAR	10/21/2025 12:26:53 PM		
	Draft				100.00 SAR	9/17/2025 10:50:47 AM		

2. The user adds an expense line, selecting a **Category** (e.g., "Meal") and entering the **Transaction amount** (e.g., 500).

Finance and Operations | Expense management > My expenses > Expense reports

Expense report for Salman Ahmad - AURC-000021

Expense report header

General

Purpose: Location: Map to travel requisition: Travel requisition amount: Sales tax amount: 0.00

Expenses

Transaction date	Approval status	Expense category	Merchant	Transaction amount	Currency	Project ID	Billable	Activity number	Receipts at...	Receipt
10/25/2025	Draft	Trans001		500.00	SAR	PRJ-000039	NI	AN-000491		

- The expense report is submitted and must be approved through its own workflow. Once approved and posted, the system automatically links it to the outstanding cash advance.

Expense management > My expenses > Expense reports

Header receipts

Attach receipts that are related to more than one expense

Attach existing receipts | Upload and attach new receipt | Select lines | Open | Remove

We didn't find anything to show here.

Finance and Operations | Expense management > Process expense reports > Approved expense reports

Approved expense reports

Standard view

Expense report nu...	Purpose	First name	Last name	Created date and time	Total expense repo...	Approval status
AURC-000021		Salman	Ahmad	10/25/2025 4:56:14 AM	500.00 SAR	Approved

Stage 5: Checking the Remaining Balance

- The user can return to the original cash advance record at **Expense management > My expenses > Cash advance**.

Finance and Operations | Expense management > Process cash advances > Approved and paid cash advances

Approved and paid cash advances

Standard view

Cash advance number	Employee	Requested date	Requested amount	Requested amount (company current...	Currency	Cash advance st...	Balance
AURC-000012	Salman Ahmad	10/25/2025	1,000.00	1,000.00	SAR	Paid	1,000.00
AURC-000003	Salman Ahmad	10/21/2025	1,000.00	1,000.00	SAR	Paid	1,000.00
AURC-000002	Salman Ahmad	10/21/2025	5,000.00	5,000.00	SAR	Paid	4,500.00

2. After the expense report is fully processed, the cash advance record will be updated to show the remaining balance. For example, if 5000 was requested and 500 was spent, the **Balance** field will display **4500**.